

sation. “When we say ‘Indianising the operations’ that includes everything—like localising the technology. We are going to assemble the batteries from next year at Halol. A lot of important components like cells that our industry currently imports will be made in India through joint ventures. For instance, we will explore local production of newer technologies like Hydrogen fuel cell that we have access to,” says Chaba.

A DIFFERENT APPROACH

Localisation is one response to the prevailing conditions. Rival Chinese auto major BYD that entered the Indian passenger vehicles market in 2021 presents a picture in contrast. It has so far been unfazed

stabilising our operations and distribution here. Globally, we are an EV player and with our advanced technology we want to increase awareness in India. Eventually, we want to become a key player here. BYD India is also a hub for BYD South Asia and we have plans to export cars from here. We have been operating in India as per local norms,” he tells *BT*, adding that the company has even sold electric buses through its partner to the Indian authorities without much hassle. As the technology partner, BYD assembles the chassis and the batteries while its partner Olectra sells the e-buses to various state governments.

The company has set a target of selling 15,000 EVs this year and

four-five models and that will take the share of EVs in our total sales to 65-75 per cent by 2028. We also have plans to go public by then,” he says.

Additionally, both automakers highlight the investments they have made as a reflection of their commitment. According to Chaba, MG has already invested ₹4,000 crore in India, while Gopalakrishnan says BYD has invested over ₹1,600 crore (\$200 million). BYD is also planning to invest another \$1 billion to manufacture EVs and batteries, reports say. However, other reports suggest that the government may not approve such a proposal.

According to experts like Harish Bijoor, Founder of Harish Bijoor Consults, the initial success of Chi-

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RAJEEV CHABA
CEO EMERITUS, MG MOTOR INDIA

by the challenges emanating from the tensions between the countries.

Primarily focussed on the premium end of the market, with its two models priced above ₹30 lakh, its passenger vehicles operations in India are smaller than MG’s. According to Sanjay Gopalakrishnan, Senior Vice President of Electric Passenger Vehicles (EPV) Business at BYD India, it has so far sold some 2,200 electric four-wheelers here. Given the smaller scale of its operations, the company is yet to chalk out a plan to manufacture components locally and is focusing on assembling its cars here.

“Currently, we are focussed on

more than double its distribution network to 53 dealers. “EV sales are growing rapidly in India and by 2030 it’s estimated to form 30 per cent of passenger four-wheeler sales. So, as a global leader in EVs, we would definitely like to grab a larger share of the market and we will launch more models,” says Gopalakrishnan, adding that BYD is planning to launch a new model, Seal, in 2023.

Chaba, meanwhile, has larger plans. With the Comet—a compact two-door electric hatchback—he expects to garner 35 per cent of sales from the EV segment by 2025. “As our next phase starts with the second plan, we will launch another

nese car makers was due to their focus on developing the business and establishing a reliable image rather than creating too much noise like Chinese handset companies. “However, given the nature of the relationship between India and China, the pressure on Chinese automakers will remain in the future. After all, the two economic powers in the region are unlikely to come closer anytime soon,” says Bijoor.

MG and BYD are hoping that their strategies will insulate them from any such pressures, should they arise. *BT*

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